Illustration 10

From the following information, compute the value of goodwill by capitalising super profit:

(a) Capital employed is ₹ 4,00,000

(b) Normal rate of return is 10%

(c) Profit for 2016: ₹ 62,000; 2017: ₹ 61,000 and 2018: ₹ 63,000

Solution

$$\text{Average profit} = \frac{\text{Total profit}}{\text{Number of years}}$$

$$= \frac{62,000 + 61,000 + 63,000}{3}$$

$$= \frac{1,86,000}{3}$$

= ₹ 62,000

Normal profit = Capital employed × Normal rate of return

= 4,00,000 × 10%

= ₹ 40,000

Super profit = Average profit – Normal profit

= 62,000 – 40,000

= ₹ 22,000

$$\text{Goodwill} = \frac{\text{Super profit}}{\text{Normal rate of return}} \text{ x } 100$$

$$= \frac{22,000}{10} \text{ x } 100$$

= ₹ 2,20,000

4.6.3 Capitalisation method

Under this method, goodwill is the excess of capitalised value of average profit of the business over the actual capital employed in the business.

Goodwill = Total capitalised value of the business – Actual capital employed

The total capitalised value of the business is calculated by capitalising the average profits on the basis of the normal rate of return.

$$\text{Capitalised value of the business} = \frac{\text{Average profit}}{\text{Normal rate of return}} \text{ x } 100$$

Actual capital employed = Fixed assets (excluding goodwill) + Current assets – Current liabilities

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